

widespread conviction that nothing could prevent the near future bringing the same type of bitter depression and major stock market crash that happened about the same number of years after each of the two preceding major wars. In 1949, a slight depression did occur. When its modest nature was appraised and the financial community found that the subsequent trend was up, not down, a tremendous psychological change occurred in the way common stocks were regarded. Many common stocks more than doubled in price in the following few years, due to nothing more than this psychological change. Those common stocks which also had the benefit of more tangible outside occurrences improving their fundamental worth did a great deal better than just doubling.

These great shifts in the way the financial community appraises the same set of facts at different times are by no means confined to stocks as a whole. Particular industries and individual companies within those industries constantly change in financial favor, due as often to altered ways of looking at the same facts as to actual background occurrences themselves.

For example, in certain periods the armament industry has been considered unattractive by the investment community. One of its most outstanding characteristics has been considered to be domination by a single customer, the government. This customer in some years goes in for heavy military procurement, and in others cuts buying way down. Therefore the industry never knows from one year to the next when it may be subject to major contract cancellations and drying up of business.

To this must be added the abnormally low profit margin that customarily prevails in government work, and the tendency of the renegotiation laws to take most of what profit is made, but never correspondingly to allow for a mistake in calculations that causes a loss. Furthermore, the constant necessity to keep bidding on new models in a field where engineering changes come continuously means that risk and turmoil are the order of the day. It is impossible, no matter how good your engineering, to standardize anything that gives your company a long-term advantage over the aggressive competition. Finally, there is always the "danger" that peace might break out with an accompanying decline in business. When this view prevails, as it has many times in the past twenty years, the defense shares sell at a quite low price in relation to their earnings.